



Term Evaluation Theory (Even) Semester Regular Examination February 2026

Roll no.....

Name of the Course: B.COM(H)
Semester: II
Name of the Paper: Financial Reporting
Paper Code: BCH 201 AC
Time: 1.5-hour

Maximum Marks: 50

Note:

- (i) Answer all the questions by choosing any one of the sub-questions
- (ii) Each question carries 10 marks.

Q1.

(10 Marks)

- a. "Explain the format of the Statement of Financial Position and the Statement of Profit or Loss and Other Comprehensive Income as outlined in IAS 1." (CO 1)

OR

- b. An entity purchases an aircraft that has an expected useful life 20 years with no residual value. The aircraft requires substantial overhaul at the end of years 5, 10 and 15. The aircraft cost \$25 million and \$5 million of this figure is estimated to be attributable to the economic benefits that are restored by the overhauls. In year 6, the cost of the overhaul is estimated to be \$6 million. Calculate the annual depreciation charge for the years 1-5 and years 6-10 (CO 1)

Q2.

(10 Marks)

- a. Write short notes on Not-for-Profit Entities, Public Sector Entities and Published Accounts, explaining their key characteristics and significance (CO 1)

OR

- b. Write short notes on Impairment loss and Recoverable amount. The following information relates to three assets: (CO1)

	A (\$000)		B (\$000)	C (\$000)
Carrying Amount	50		75	60
Net Realisable value	55		62	50
Value in use	60		65	45

What is the recoverable amount of each asset?

Calculate the impairment loss for each of the three assets.

Q3.

(10 Marks)

- a. Explain in detail the objectives and scope of IAS 16 – Property, Plant and Equipment. (CO1)

OR

- b. Define depreciation, depreciable amount and provide the formulas used to calculate depreciation. "Mention the types of depreciation methods Mention the types of depreciation methods (CO1)



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Q4. (10 Marks)

a. How does historical cost measurement differ from fair value measurement? (CO2)

OR

b. What is the objective of IFRS 16 (Leases), and how does it impact financial statements? (CO2)

Q5. (10 Marks)

a. How does IAS 21 (The Effects of Changes in Foreign Exchange Rates) address foreign currency translation? (CO2)

OR

a. What is the purpose of a conceptual framework in financial reporting? (CO2)